

IFRS 9 Staging

An important aspect of IFRS 9 is the varying time period considered for various accounts and allocating accounts to different stages.

<https://www.ifrs.org/content/dam/ifrs/project/fi-impairment/ifrs-standard/published-documents/project-summary-july-2014.pdf>

Stage 1

As soon as a financial instrument is originated or purchased, 12-month expected credit losses are recognised in profit or loss and a loss allowance is established. This serves as a proxy for the initial expectations of credit losses. For financial assets, interest revenue is calculated on the gross carrying amount (ie without adjustment for expected credit losses).

Stage 2

If the credit risk increases significantly and the resulting credit quality is not considered to be low credit risk, full lifetime expected credit losses are recognised. Lifetime expected credit losses are only recognised if the credit risk increases significantly from when the entity originates or purchases the financial instrument. The calculation of interest revenue on financial assets remains the same as for Stage 1.

Stage 3

If the credit risk of a financial asset increases to the point that it is considered credit-impaired (defaulted non-performing), interest revenue is calculated based on the amortised cost (ie the gross carrying amount adjusted for the loss allowance). Financial assets in this stage will generally be individually assessed. Lifetime expected credit losses are still recognised on these financial assets.